

Airbnb

NASDAQ : ABNB · \$108.44B mkt cap · 650M sh · \$12B cash, \$2.5B debt · ~\$9.5B net cash; ~650M diluted shares; ~\$3.8B/yr buyback offsets SBC; Revenue Mature-Company \$12.24B FY25 (+10%, decel from +40%); 38% FCF margin, \$4.6B FCF; High-teens EV/FCF; 2026 growth re-accelerated (+18%/+17% in Q1/Q2), guided at least mid-teens

\$166.84

THE CENTRAL QUESTION

At a high-teens EV/FCF, is Airbnb's 2026 re-acceleration durable — or do fading currency and World Cup boosts, AI booking agents and regulation pull growth back to high-single digits?

Airbnb trades at a high-teens multiple of trailing FCF (\$4.8B, a 37% margin before ~\$1.8B/yr of stock comp) with ~\$9.5B net cash. Growth re-accelerated in 2026 (+18% and +17% in Q1-Q2; guide raised twice to at least mid-teens, ~3 points of it currency) as nights outgrew Booking's rental business (+10% vs +4% in Q2) and a hotels line launched. The DCF asks whether that pace holds once currency and World Cup boosts fade, AI booking agents launch without Airbnb, and regulation caps city supply. Modal case ~14% above the price; 37% of the probability sits below it.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$191.44

expected fair value today
+14.7% vs spot \$166.84

FORWARD COMPOUNDED VALUE

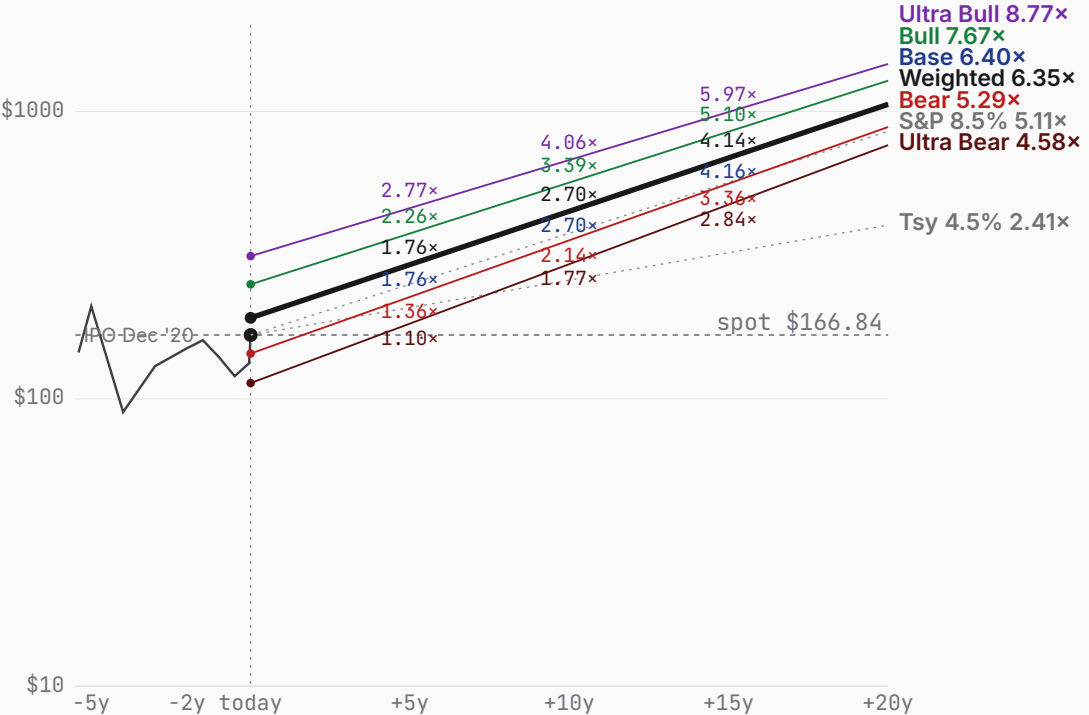
+5y	+10y	+15y	+20y
\$293.32	\$449.71	\$689.93	\$1,059.16
1.76× spot	2.70× spot	4.14× spot	6.35× spot

WEIGHTING RATIONALE

- Ultra Bear 12% Regulation + maturation; ~\$114 (-32%).
- Bear 25% High-single growth; regulation; ~\$144 (-14%).
- Base 35% Mid-teens 2026, then ~10%; ~\$190 (+14%).
- Bull 20% Experiences/intl re-accel; ~\$250 (+50%).
- Ultra Bull 8% End-to-end travel hub; ~\$314 (+88%).

Bull (20%) + Ultra Bull (8%) together contribute \$75.20 — 39% of the \$191.44 expected value despite 28% combined probability. Today's spot (\$166.84) sits 13% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$113.54	BEAR	\$143.83	BASE	\$190.45	BULL	\$250.38	ULTRA BULL	\$314.03
	-31.9% vs spot		-13.8% vs spot		+14.2% vs spot		+50.1% vs spot		+88.2% vs spot
CAGR +4.9% WACC 10.0% CAGR +4.9% Prob 12%		CAGR +7.4% WACC 9.5% CAGR +7.4% Prob 25%		CAGR +10.8% WACC 9.0% CAGR +10.8% Prob 35%		CAGR +13.2% WACC 8.5% CAGR +13.2% Prob 20%		CAGR +15.8% WACC 8.0% CAGR +15.8% Prob 8%	
Regulation + maturation; growth stalls.		Decelerates to high-single; regulation bites.		Low-mid-teens growth; Experiences ramps.		Experiences/Services + international re-accel.		End-to-end travel hub; AI concierge.	

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ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Airbnb scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 12% Bear 25% Base 35% Bull 20% Ultra Bull 8% · Weighted expected \$191.44 (+14.7% vs spot)

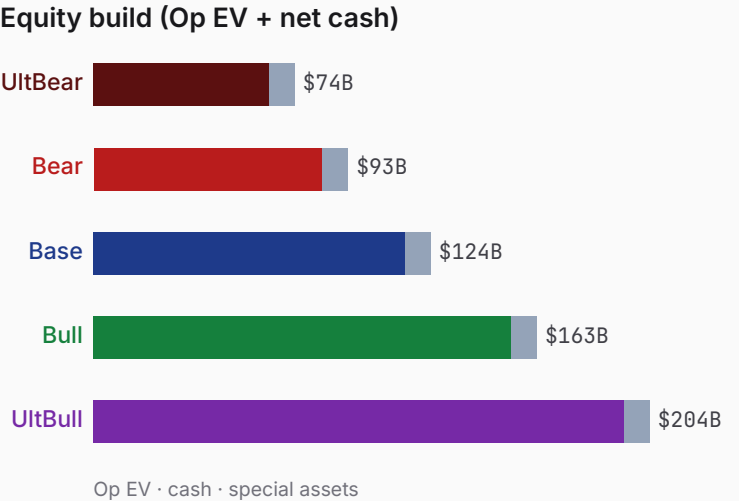
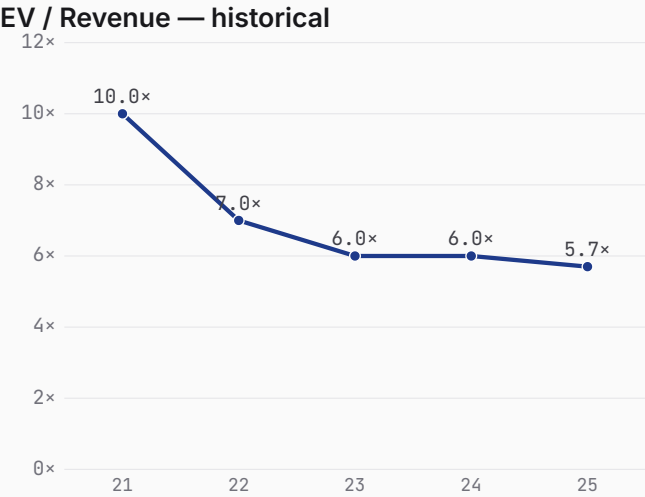
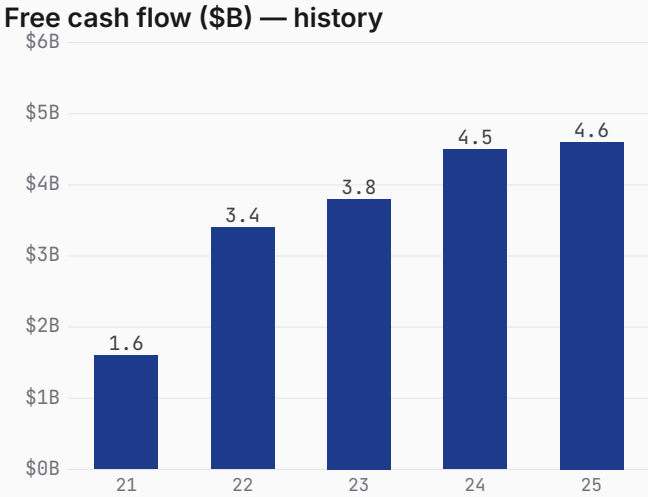
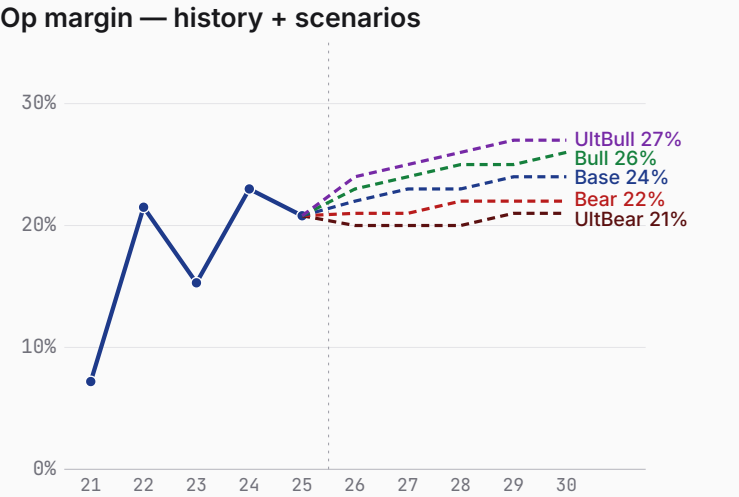
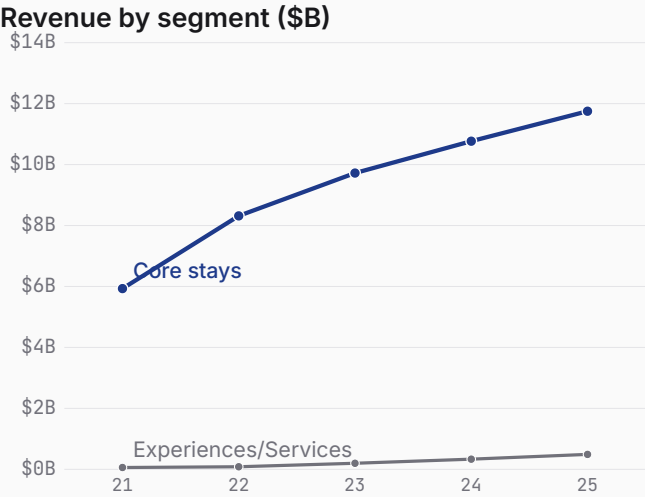
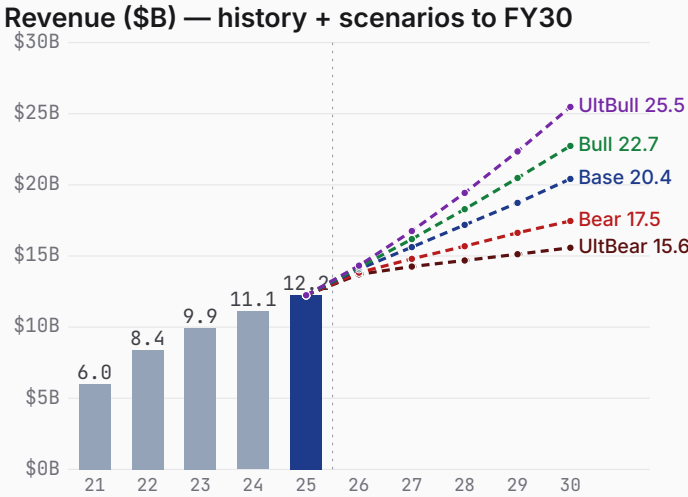
ULTRA BEAR	\$113.54	BEAR	\$143.83	BASE	\$190.45	BULL	\$250.38	ULTRA BULL	\$314.03
	-31.9% vs spot		-13.8% vs spot		+14.2% vs spot		+50.1% vs spot		+88.2% vs spot

Probability 12%	Probability 25%	Probability 35%	Probability 20%	Probability 8%
Regulation + maturation; growth stalls. WHY 12% Regulation is the structural bear: NYC listings fell ~92%, Spain fined Airbnb EUR65M. 12% weight on bans + maturation capping the network. WHAT HAPPENS City STR bans spread (Barcelona's 2028 phase-out as the template), growth decays toward GDP-plus, and Experiences/Services never monetizes. After the 2026 currency and World Cup lift, revenue grows only ~3%; the premium multiple de-rates toward Booking's. DCF ~\$114 (~32%) — a great FCF machine, but priced for the growth it has stopped delivering.	Decelerates to high-single; regulation bites. WHY 25% The law-of-large-numbers + Booking competition path. 25% weight — a very plausible 'matures gracefully' outcome. WHAT HAPPENS After the 2026 lift, growth settles in the high-single digits as Booking out-executes in alternative accommodations and regulation nibbles supply; FCF margin holds ~37%. DCF ~\$144 (~14%) — below spot; the network defends the cash even as growth matures.	Low-mid-teens growth; Experiences ramps. WHY 35% Requires the guided mid-teens 2026 to settle near ~10% + modest Experiences/Services monetization. 35% as the central outcome — the network + brand are genuinely durable. WHAT HAPPENS The modal path: revenue grows mid-teens in 2026 (the guide), then ~10% as the currency and World Cup lift fades; Experiences/Services begins to monetize, and international under-penetration carries the network at a 38-39% FCF margin. DCF ~\$190 (+14%). A verb-grade FCF machine at a high-teens FCF multiple is modestly mispriced if growth holds near 10%.	Experiences/Services + international re-accel. WHY 20% Experiences/Services monetizes into a needle-mover + international compounds. ~20%; the relaunch is early but credible. WHAT HAPPENS Experiences/Services becomes a real second leg, international scales, and AI-driven conversion lifts the take rate — revenue holds the mid-teens at a 40% FCF margin. DCF ~\$250 (+50%) — the optionality the relaunch is buying actually pays off.	End-to-end travel hub; AI concierge. WHY 8% The full 'Airbnb everything' hub + AI concierge. ~8%, the asymmetric upside the Experiences/Services bet is really for. WHAT HAPPENS Airbnb becomes an end-to-end travel/lifestyle platform (homes + services + experiences + AI concierge), expanding TAM well beyond rentals at peak network margins. DCF ~\$314 (+88%) — the platform vision fully realized; ~8% probability.

Airbnb business snapshot

Bear \$143.83 Base \$190.45 Bull \$250.38

FY21-FY25 history + FY26-FY30 scenario projections · calendar fiscal year · FY2025 10-K (Feb'26)



Sources: Airbnb FY2025 10-K (revenue \$12.24B, FCF \$4.6B/38%, ~\$9.5B net cash, GBV \$91.3B), Q1-Q2'26 8-K/10-Q (FY26 anchored to the raised at-least-mid-teens guide; \$2.5B notes, \$12.0B cash + ST investments). Revenue as a growth-rate path off FY25; FCF = revenue x FCF margin (use ~38% structural, not the seasonal Q1 64%); Gordon terminal. EV/FCF vs Booking/Expedia.

Airbnb 7 Powers · the moat, scored

Bear \$143.83 Base \$190.45 Bull \$250.38

Arena. Travel / lodging + experiences — Airbnb (two-sided STR marketplace, ~8M listings, verb-grade brand) vs Booking, Expedia/Vrbo, Google Travel, hotels; defending a network + brand Power as growth matures and regulation tightens.

POWER AUDIT
dominant-power durability: medium-high

POWER AUDIT · 7 POWERS

Scale Economies 	Fixed platform/trust-&-safety/marketing spread over \$91B GBV → best-in-class ~38% FCF margin.
Network Economies · thesis leans here 	The dominant Power: two-sided host↔guest density; more hosts → more guests → more hosts.
Counter-Positioning 	Was the disruptor vs hotels; incumbents (Booking, Vrbo) have matched the STR model.
Switching Costs 	Weak-medium: hosts multi-list; guests are promiscuous.
Branding 	'Airbnb' is a verb; direct-traffic advantage lowers CAC vs OTAs — durable demand-side Power.
Cornered Resource 	No durable exclusive asset; supply is replicable.
Process Power 	Matching/pricing/trust-and-safety execution at scale.

PEER SET

Booking Holdings Larger GBV; pushing into alternative accommodations (>8M listings, growing faster than ABNB there).	13% gr · 36% mgn · ~15.6x P/E
Expedia / Vrbo #3 OTA; Vrbo the direct STR competitor.	6% gr · 15% mgn · ~11.8x P/E
Google Travel Disintermediation risk at the search layer.	· n/a
Hotels / chains Direct booking + loyalty; the alternative for urban stays.	5% gr · varies

THREAT VECTORS · FALSIFIERS

- Network Economies · Booking in alternative accommodations
falsifier: Booking out-grows ABNB in alt-accommodations bookings for 2+ years.
- Branding · Google Travel disintermediation
falsifier: Paid-search dependence rises and direct-traffic share falls.
- Scale Economies · STR regulation
falsifier: A flagship metro structurally bans STRs, or registration regimes materially shrink supply.

COMPETITIVE READ

Airbnb's network-economies + verb-grade brand are genuinely durable on the demand side (direct traffic, two-sided liquidity), and the ~38% FCF margin is best-in-class. The terminal-value debate is not a competitor out-networking them — it's regulation (dense-urban supply caps) + growth maturation. At a high-teens EV/FCF the cash flow is priced cheaply for the quality; the Experiences/Services relaunch is the unpaid-for optionality, and the sign hinges on whether growth holds in the teens or decays to GDP-plus.

Airbnb show your work

Bear \$143.83 Base \$190.45 Bull \$250.38 · Weighted \$191.44 (+14.7%)

ULTRA BEAR					BEAR					BASE					BULL					ULTRA BULL				
\$113.54					\$143.83					\$190.45					\$250.38					\$314.03				
ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS					ASSUMPTIONS				
5y revenue CAGR (%)					+4.9					+7.4					+10.8					+13.2				
Year-5 op margin (%)					21.0					22.0					24.0					26.0				
WACC (%)					10.0					9.5					9.0					8.5				
Terminal growth (%)					2.0					2.5					3.0					3.5				
Terminal FCF (\$B)					\$5.61B					\$6.63B					\$7.96B					\$9.10B				
Starting revenue (\$B)					12.24					12.24					12.24					12.24				
Scenario probability (%)					12					25					35					20				
5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B					5-YEAR DCF · \$B				
FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF	FY	Rev	Margin	FCF	PV FCF
FY26	13.71	+20%	+4.93	+4.49	FY26	13.83	+21%	+5.12	+4.67	FY26	14.08	+22%	+5.35	+4.91	FY26	14.20	+23%	+5.39	+4.97	FY26	14.32	+24%	+5.58	+5.17
FY27	14.26	+20%	+5.13	+4.24	FY27	14.80	+21%	+5.48	+4.57	FY27	15.62	+23%	+5.94	+5.00	FY27	16.19	+24%	+6.31	+5.36	FY27	16.76	+25%	+6.70	+5.75
FY28	14.68	+20%	+5.29	+3.97	FY28	15.69	+22%	+5.80	+4.42	FY28	17.19	+23%	+6.70	+5.18	FY28	18.29	+25%	+7.32	+5.73	FY28	19.44	+26%	+7.97	+6.33
FY29	15.13	+21%	+5.45	+3.72	FY29	16.63	+22%	+6.32	+4.39	FY29	18.73	+24%	+7.31	+5.18	FY29	20.49	+25%	+8.19	+5.91	FY29	22.35	+27%	+9.16	+6.74
FY30	15.58	+21%	+5.61	+3.48	FY30	17.46	+22%	+6.63	+4.21	FY30	20.42	+24%	+7.96	+5.18	FY30	22.74	+26%	+9.10	+6.05	FY30	25.48	+27%	+10.45	+7.11
Σ PV explicit FCF					+19.90					+22.27					+28.03					+31.09				
+ PV terminal (g 2.0%)					44.40					61.72					125.22					163.53				
EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE					EQUITY BUILD · \$B & PER SHARE				
Operating EV					\$64.30B					\$83.99B					\$114.29B					\$153.25B				
+ Cash & investments					\$12.00B					\$12.00B					\$12.00B					\$12.00B				
– Total debt					\$2.50B					\$2.50B					\$2.50B					\$2.50B				
= Equity value					\$73.80B					\$93.49B					\$123.79B					\$162.75B				
FY30 shares (M)					650					650					650					650				
= Expected per share					\$113.54					\$143.83					\$190.45					\$250.38				
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT					FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT				
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y	
\$182.86	\$294.49	\$474.28	\$763.84		\$226.42	\$356.44	\$561.13	\$883.35		\$293.03	\$450.86	\$693.71	\$1,067.36		\$376.49	\$566.11	\$851.23	\$1,279.95		\$461.41	\$677.97	\$996.16	\$1,463.68	
1.10×	1.77×	2.84×	4.58×		1.36×	2.14×	3.36×	5.29×		1.76×	2.70×	4.16×	6.40×		2.26×	3.39×	5.10×	7.67×		2.77×	4.06×	5.97×	8.77×	



Airbnb People · Opportunity · Context · Deal

Bear \$143.83 Base \$190.45 Bull \$250.38

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Brian Chesky · founder-led 18 yrs in seat

13.7% insider ownership
HIGH key-person risk

Capital allocation (realized)
Disciplined capital return: \$2.1B of buybacks in 1H26 (\$3.4B left on the Aug-2025 \$6B program); ~634M fully diluted shares, down ~10% since buybacks began in Q3 2022. \$2.5B of A-/Baa1 notes (Mar 2026) refinanced the \$2.0B converts. Build-not-buy; no dividend. Stock comp (\$897M in 1H26, +15%) partly offsets the buyback.

Incentive alignment
\$1 salary, no cash bonus; paid via a 2020 ten-year performance RSU (~12M units) that vests only against escalating share-price hurdles (Tranche 2 vested Nov 2024). Chesky has pledged to donate the net proceeds of his CEO equity to charity.

GOVERNANCE FLAGS

multi-class super-voting (Class B = 20 votes) → founder bloc ~79% voting control (binding agreement); fixed Dec-2040 sunset

CEO + Chairman combined, mitigated by a lead independent director (Ken Chenault)

fully-independent board committees, no controlled-company exemptions used; classified board

CEO also founding an outside, independently funded AI lab (Jun 2026) — split attention; CTO and business-chief exits within nine months

PEOPLE READ

Founder-CEO on a \$1 salary, paid only if the stock clears price hurdles, with buybacks cutting the fully diluted count ~10% since 2022 — strong alignment and capital discipline. The offsets: a ~79% founder voting bloc + combined CEO/Chair (mitigated by a lead independent director, fully independent committees and a fixed 2040 sunset), and a CEO now also founding an outside AI lab.

THE FOUR LEGS

People observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value (the +14.7% finding), then position-sized.

Airbnb supporting analysis · disclaimers · glossary

Bear \$143.83 Base \$190.45 Bull \$250.38

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

High-teens EV/FCF, 37% FCF margin.
A verb-grade two-sided network throwing off \$4.8B FCF at a 37% margin — priced like a maturing OTA, not a durable platform.
- 2

\$9.5B net cash, working-capital-positive.
Guest pre-payments fund the float → structurally high FCF conversion; fortress balance sheet, ~\$3.8B/yr buyback.
- 3

Network economies + a verb brand.
'Airbnb' is the default for alternative accommodations; direct traffic lowers CAC vs OTAs — the two-sided liquidity moat.
- 4

Experiences/Services optionality is free.
The 2025 relaunch expands TAM beyond rentals; unmonetized today, so any traction is upside the multiple doesn't pay for.
- 5

International under-penetrated.
Latin America / Asia-Pacific grow faster than core — a multi-year runway the US-centric view misses.

FALSIFICATION TRIGGERS

Bull validation revenue re-accelerates to mid-teens · Experiences/Services monetizes into a reported needle-mover · take rate rises · international outgrows core	Bear validation growth decays to high-single · major-metro bans spread · Booking out-grows ABNB in alternative accommodations · multiple de-rates toward peers	Reframe needed if a flagship market structurally bans STRs or Google disintermediates search, re-rate the network durability + terminal multiple
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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

GBV / take rate — Gross booking value (~\$91B FY25) x ~13.4% take = revenue; the two metrics that drive the model.	Network economies — Helmer Power: more hosts → more guests → more hosts; the two-sided liquidity flywheel that is Airbnb's core moat.	Experiences / Services — The 2025 relaunch (locally-hosted activities + in-stay services); the TAM-expanding optionality, unmonetized today.
FCF margin — Free cash flow / revenue (~38% structural; ignore the seasonal Q1 ~64% float build) — the mature-DCF lever.	STR regulation — Short-term-rental bans/registration (Barcelona 2028 phase-out, NYC -92%) — the structural cap on dense-urban supply.	